

**AMERICAN
INDIAN LAW
IN A NUTSHELL®**

EIGHTH EDITION

WILLIAM C. CANBY, JR.
Senior Judge, United States Court of Appeals
For the Ninth Circuit
formerly
Professor of Law
Arizona State University

 **WEST
ACADEMIC**

The publisher is not engaged in rendering legal or other professional advice, and this publication is not a substitute for the advice of an attorney. If you require legal or other expert advice, you should seek the services of a competent attorney or other professional.

Nutshell Series, In a Nutshell and the Nutshell Logo are trademarks registered in the U.S. Patent and Trademark Office.

COPYRIGHT © 1981, 1988 WEST PUBLISHING CO.

© West, a Thomson business, 1998, 2004

© 2009 Thomson Reuters

© 2015, 2020 LEG, Inc. d/b/a West Academic

© 2025 LEG, Inc. d/b/a West Academic

860 Blue Gentian Road, Suite 350

Eagan, MN 55121

1-877-888-1330

West, West Academic Publishing, and West Academic are trademarks of West Publishing Corporation, used under license.

Published in the United States of America

ISBN: 978-1-68561-118-7

CHAPTER 3

THE SPECIAL RELATIONSHIP BETWEEN THE FEDERAL GOVERNMENT AND THE TRIBES

A. INTRODUCTION

Much of American Indian Law revolves around the special relationship between the federal government and the tribes. Yet it is very difficult to mark the boundaries of this relationship, and even more difficult to assess its legal consequences. At its broadest, the relationship includes the mixture of legal duties, moral obligations, understandings and expectancies that have arisen from the entire course of dealing between the federal government and the tribes. In its narrowest and most concrete sense, the relationship approximates that of trustee and beneficiary, with the trustee (the United States) subject in some degree to legally enforceable responsibilities. Unfortunately, the same terms of fiduciary obligation are often used by courts and commentators whether they are referring to the broadest or the narrowest definition. Care must be exercised, therefore, to determine whether the type of fiduciary obligation in question in any given instance is merely a moral command or is an enforceable legal duty.

The degree to which the courts are willing to enforce fiduciary responsibilities of the federal government depends upon both the branch of government involved and the subject matter of the

dispute. Although it has been stated on several occasions that Congress owes a fiduciary duty to the tribes, no court has ever enforced such a duty. Congress's power to regulate commerce with the Indian tribes is not legally encumbered by a requirement that all such legislation further the trust responsibility to the tribes. *Lac Courte Oreilles Band of Indians v. United States*, 367 F.3d 650, 665-67 (7th Cir.2004). In the case of Congress, then, the duty is essentially a moral or political obligation. The executive branch, on the other hand, sometimes has been subjected to court enforcement of its trust responsibilities. The duty of the executive branch to the tribes is therefore increasingly a legal one. In general, it has been enforced with regard to the executive's management of Indian lands or other properties, such as water rights. See Section C, *infra*. It should not be assumed, however, that the broader areas of the special relationship between the federal government and the tribes are unimportant simply because they have not been held to be judicially enforceable on a theory of trust.

B. EVOLUTION OF THE RELATIONSHIP

Some form of special relationship between the federal government and the Indian tribes was probably implicit in the decision, made immediately after the Revolution, to keep Indian affairs in the hands of the federal government as a means of protecting the tribes from the states and their citizens (thereby avoiding Indian wars). See Chapter 2, Section B, *supra*. The evolution of that relationship into fiduciary form took place slowly. The

Constitution itself certainly contains no explicit delineation of a relationship, fiduciary or otherwise, but it does grant powers to the federal government that have been held to authorize its role as a trustee. Most crucial are the congressional power to regulate commerce with the Indian tribes, Art. I, § 8, cl. 3, and the presidential power to make treaties, Art. II, § 2, cl. 2. Additional support for the role of trustee sometimes has been found in the congressional power to make regulations governing the territory belonging to the United States, Art. IV, § 3, cl. 2.

Primary support for the trust relationship came, however, from the judiciary, beginning with Chief Justice John Marshall's decision in *Cherokee Nation v. Georgia*, 30 U.S. (5 Pet.) 1 (1831). There he characterized the tribes as "domestic dependent nations" with a right of occupancy of the land until the federal government chose to extinguish their title. Marshall added:

Meanwhile, they are in a state of pupillage; their relation to the United States resembles that of a ward to his guardian.

30 U.S. (5 Pet.) at 17. While Marshall's reference was perhaps more literary than legal and did not attempt to spell out the incidents of the guardian-ward relationship, his statement served as a conceptual basis for further evolution of the doctrine. Thus, fifty years later the Supreme Court was able to uphold Congress's Major Crimes Act (defining certain offenses committed by Indians in Indian country as federal crimes), on the following theory:

These Indian tribes *are* the wards of the nation. They are communities *dependent* on the United States,—dependent largely for their daily food; dependent for their political rights. They owe no allegiance to the states, and receive from them no protection. Because of the local ill feeling, the people of the states where they are found are often their deadliest enemies. From their very weakness and helplessness, so largely due to the course of dealing of the federal government with them, and the treaties in which it has been promised, there arises the duty of protection, and with it the power. This has always been recognized by the executive, and by congress, and by this court, whenever the question has arisen.

United States v. Kagama, 118 U.S. 375, 384–85 (1886); see also United States v. Sandoval, 231 U.S. 28 (1913).

This view of the trust relationship as a source of congressional power was buttressed in *Lone Wolf v. Hitchcock*, 187 U.S. 553 (1903). In that case, the Supreme Court upheld a statute distributing tribal lands despite a claim by some tribal members that an earlier treaty required consent of tribal members for any such distribution. The Court stated:

The contention in effect ignores the status of the contracting Indians and the relation of dependency they bore and continue to bear towards the government of the United States. To uphold the claim would be to adjudge that the indirect operation of the treaty was to materially

limit and qualify the controlling authority of Congress in respect to the care and protection of the Indians, and to deprive Congress, in a possible emergency, when the necessity might be urgent for a partition and disposal of the tribal lands, of all power to act, if the assent of the Indians could not be obtained.

* * *

Plenary authority over the tribal relations of the Indians has been exercised by Congress from the beginning, and the power has always been deemed a political one, not subject to be controlled by the judicial department of the government.

187 U.S. at 564–65. Thus, where Congress was concerned, the trust responsibility had become far more of a sword for the government than a shield for the tribes.

C. ENFORCEMENT OF THE TRUST RESPONSIBILITY

It was with regard to the executive branch that the Supreme Court began to enforce the federal trust responsibility toward the Indians. The guardian-ward relationship was held not to authorize the Secretary of the Interior to dispose of lands claimed by an Indian Pueblo in the same manner that he could dispose of other public lands. "That would not be an exercise of guardianship, but an act of confiscation." *Lane v. Pueblo of Santa Rosa*, 249 U.S. 110, 113 (1919). In *Cramer v. United States*, 261 U.S.

219, 229 (1923), the Court protected lands occupied by individual Indians from being patented to third parties, because to fail to protect the Indians' right of occupancy "would be contrary to the whole spirit of the traditional American policy toward these dependent wards of the nation." It also held that the United States had standing to assert the Indians' interest, by reason of its position as guardian. Some years later, the Court observed that, at least in the case of lands owned by an Indian tribe in fee, the federal powers of management arising from the trust relationship were "subject to limitations inhering in such a guardianship * * * ." *United States v. Creek Nation*, 295 U.S. 103, 110 (1935). Then, in 1942 the Supreme Court held that, where a treaty required the United States to pay funds to tribal members, it was liable when it paid the money instead to the tribal government that was known to be misappropriating it. In regard to the treaty, the Government was more than "a mere contracting party;" it was to "be judged by the most exacting fiduciary standards." *Seminole Nation v. United States*, 316 U.S. 286, 296-97 (1942); see also *Loudner v. United States*, 108 F.3d 896, 901-02 (8th Cir.1997).

The trust responsibility and its consequences were further defined in the 1980s by the Supreme Court in two decisions arising from the same lawsuit. Indian allottees of forested land in the Quinault Reservation sued the United States for damages for mismanagement of the forest resources. In the first decision, *United States v. Mitchell*, 445 U.S. 535 (1980) ("Mitchell I"), the Court held that the General

Allotment Act itself "created only a limited trust relationship between the United States and the allottee that does not impose any duty upon the Government to manage timber resources." 445 U.S. at 542. In the second decision, *United States v. Mitchell*, 463 U.S. 206 (1983) ("Mitchell II"), the Court held that a trust duty *did* arise from several statutes and regulations that, unlike the General Allotment Act, expressly authorized or directed the Secretary of the Interior to manage forests on Indian lands. E.g., 25 U.S.C.A. §§ 406(a), 466. In addition, the Court stated that

a fiduciary relationship necessarily arises when the Government assumes such elaborate control over forests and property belonging to Indians. All of the necessary elements of a common-law trust are present: a trustee (the United States), a beneficiary (the Indian allottees), and a trust corpus (Indian timber, lands, and funds).

463 U.S. at 225. In these circumstances, a trust relationship exists "though nothing is said expressly in the authorizing or underlying statute * * * about a trust fund, or a trust or fiduciary connection." 463 U.S. at 225 (quoting *Navajo Tribe of Indians v. United States*, 224 Ct.Cl. 171, 183, 624 F.2d 981, 987 (1980)). The Court went on to hold that "it naturally follows that the Government should be liable in damages for the breach of its fiduciary duties." 463 U.S. at 226. Finally, it held that the Tucker Act, 28 U.S.C.A. § 1491, and the Indian Tucker Act, 28 U.S.C.A. § 1505, waived the sovereign immunity of the United States for such claims.

Three subsequent decisions of the Supreme Court more strictly delineated the boundaries between the "bare trust" of Mitchell I and the more active trusteeship of Mitchell II. In *United States v. Navajo Nation*, 537 U.S. 488 (2003) ("Navajo I"), the Court held that the Indian Mineral Leasing Act, which required secretarial approval of mineral leases negotiated by the tribe, gave rise to no fiduciary duty enforceable in damages when the Secretary allegedly caused the tribe to receive below-market royalties for its coal. The Court relied on the fact that the Act gave the Secretary no duties of management beyond approval (which was constrained only by a minimum royalty rate) and contained no express declaration of trust duty. The decision is a restrictive one; it is hard to imagine a purpose for the requirement of secretarial approval if it creates no duty to protect the interests of the tribes. The Supreme Court did not address whether other statutes or regulations gave rise to an enforceable trust duty, and it accordingly remanded for further proceedings. On remand, the Federal Circuit held that the network of statutes and regulations governing mining of coal on Navajo trust land, along with federal control of that mining, gave rise to an enforceable right to damages for violation of the government's trust responsibility. *Navajo Nation v. United States*, 501 F.3d 1327, 1340-45 (Fed.Cir.2007). The Supreme Court again reversed. *United States v. Navajo Nation*, 556 U.S. 287 (2009) ("Navajo II"). It held that the lease was governed by the Indian Mineral Leasing Act alone. That statute lacked the "rights-creating" or "duty-imposing" prescriptions bearing the hallmarks of a conventional

fiduciary relationship that Navajo I held to be the first requirement of an enforceable trust duty. In their absence, "neither the Government's 'control' over coal nor common-law trust principles matter." *Id.* at 302. The Court did not need to consider the second step necessary to an award of damages—whether the claimed trust duty was "money mandating." *Id.* at 302. The tribe's claim was dismissed.

On the same day that it handed down *Navajo Nation I*, the Supreme Court decided *United States v. White Mountain Apache Tribe*, 537 U.S. 465 (2003), which held that the United States was subject to a fiduciary duty to maintain and preserve Fort Apache, which it held in trust for the benefit of the Tribe on whose reservation it was located. A 1960 statute had provided that the fort be so held, and permitted the Secretary to use the property for administrative and school purposes as long as needed. 74 Stat. 8 (1960). The Court concluded that the United States could be held liable for letting the fort fall into decay because the statute expressly provided that the facility was held in trust, and the government not only exercised daily supervision of the property, but occupied portions of it.

The Supreme Court has thus demonstrated willingness to hold the executive accountable for breaches of its fiduciary duties to Indians when the trust is an active one. It must be kept in mind, however, that in the cases where recovery has been permitted, the federal government was acting in its most narrow and specific role as trustee—that of

manager of assets held by the United States for the benefit of the Indians. E.g., *Jicarilla Apache Nation v. United States*, 112 Fed. Cl. 274 (2013). Although the Court relied on the more general, overall trust relationship to buttress its decision in *Mitchell II*, 363 U.S. at 225, it has never granted relief for breach of that general duty by itself. Nor is the Court always ready to apply the law of private trusts to the federal trustee, as it appears to have done in *Mitchell II*, 363 U.S. at 226, and *White Mountain Apache Tribe*, 537 U.S. at 475–76. The governing rule for recovery of damages remains the two-step requirement of *Navajo II*: first, a statute must contain rights-creating or duty-imposing conventional trust-like prescriptions and, second, the source of the trust duty must be subject to an interpretation mandating damages against the federal government. 556 U.S. at 290–91. Principles of trust law may be relevant for purposes of the second step, but not the first. *Id.* at 291. The requirements of the *Mitchell* and *Navajo* cases for a substantive rights-creating or duty-imposing statute or regulation, originating in Tucker Act cases for damages, have been applied as well to defeat a claim for equitable relief. *El Paso Natural Gas Co. v. United States*, 750 F.3d 863 (D.C. Cir.2014).

When the United States litigates on behalf of the tribes, the Court has said that the government “cannot follow the fastidious standards of a private fiduciary” with regard to potential conflicts of interest. *Nevada v. United States*, 463 U.S. 110, 128 (1983). Similarly, when the United States administers an irrigation project for the benefit of

tribes and non-Indian users, the trust responsibility to the tribes does not protect communications between the tribes and the United States from disclosure under the Freedom of Information Act. *Department of the Interior v. Klamath Water Users Protective Ass’n*, 532 U.S. 1 (2001).

The Supreme Court further emphasized the unique nature of a federal trusteeship in *United States v. Jicarilla Apache Nation*, 564 U.S. 162 (2011). There the tribe sued the government for breach of trust and sought discovery in reliance on the rule that a trustee cannot invoke an attorney-client privilege against a trust beneficiary. The Supreme Court held that the analogy to a private trusteeship could not be taken so far:

The trust obligations of the United States to Indian tribes are established and governed by statute rather than the common law, and in fulfilling its statutory duties, the Government acts not as a private trustee but pursuant to its sovereign interest in the execution of federal law. The reasons for the fiduciary exception—that the trustee has no independent interest in the trust administration and that the trustee is subject to a general common-law duty of disclosure—do not apply in this context.

564 U.S. at 165–66. Traditional trust principles may play a role, however, in the interpretation of statutes claimed to establish a trust relationship. *Id.* at 177; *Fletcher v. United States*, 730 F.3d 1206, 1210 (Fed. Cir.2013).

Circuit court decisions also illustrate the difficulty of establishing an enforceable trust relationship in the absence of any clear statement of congressional or executive intent. *Wolfchild v. United States*, 559 F.3d 1228 (Fed. Cir.2009), involved a claim by descendants of the “loyal Mdewakanton” Sioux, who had not participated in the Minnesota Sioux uprising of 1862. In the late 1800s, appropriations had been made for their benefit, and some individual members had been given land in fee and others had been furnished the use of federal lands. In 1980, the federally-owned plots and other federal lands were combined into three recognized reservations, but many descendants of the loyal Mdewakantons were left out. They claimed a breach of fiduciary duty, but the court held that none of the past appropriations or land purchases or land use in recognition of services created a trust relationship or conferred a vested interest in the lands upon the loyal Mdewakantons or their descendants. *Id.* at 1241. The court noted that none of the congressional acts indicated any intent to create a trust relationship. In further litigation, the appropriation acts were held not to be “money-mandating” toward the claimants, and a statute authorizing the Secretary to set aside land for the loyal Sioux was held not to create a trust duty to do so. *Wolfchild v. United States*, 731 F.3d 1280, 1289, 1292 (Fed. Cir.2013). Similarly, a statute authorizing one-time reparation payments for the Sand Creek massacre has been held not to create a continuing duty to the victims’ heirs. *Flute v. United States*, 808 F.3d 1234 (10th Cir.2015).

Negative results were also reached in *El Paso Natural Gas Co. v. United States*, 750 F.3d 863, 896–98 (D.C. Cir.2014), which held that no enforceable trust duty arose from government ownership of tribal land or its obligations under the Indian Dump Cleanup Act, the Indian Agricultural Act, or the Mill Tailings Act. Another case found no trust duty to ensure a safe reservation drinking water supply. *Hopi Tribe v. United States*, 782 F.3d 662 (Fed. Cir.2015).

A more favorable outcome for claimants resulted from the immense *Cobell* litigation, in which it was determined that the United States breached its fiduciary duties over a period of many years in managing Individual Indian Money trust accounts (representing revenues produced by trust assets held for the benefit of individual Indians). The problem of mismanagement of these accounts induced Congress in 1994 to enact the Indian Trust Management Reform Act, 25 U.S.C.A. § 4001 et seq., which called for the government to provide an accounting, and established an Office of Special Trustee for American Indians within the Department of the Interior. *Id.* at § 4041. After further litigation, the case was settled for \$ 3.4 billion. See *Cobell v. Salazar*, 679 F.3d 909 (D.C. Cir.2012). The Reform Act has since been held to authorize individual Osage beneficiaries to sue the United States for an accounting of oil and gas royalties. *Fletcher v. United States*, 730 F.3d 1206 (10th Cir.2013), and 854 F.3d 1201 (10th Cir.2017). The Act does not apply, however, to unrecognized tribes. *Wyandot Nation v. United States*, 858 F.3d 1392 (Fed. Cir.2017).

Several lower courts have invoked the trust responsibility to compel the government to undertake litigation to protect tribal lands or resources. One example is *Joint Tribal Council of Passamaquoddy Tribe v. Morton*, 528 F.2d 370 (1st Cir.1975). In that case the tribe sued the federal government to require it to bring an action against the state of Maine to recover land ceded by the tribe in 1794 without the approval of the federal government, in violation of the Trade and Intercourse Act of 1790. From 1794 on, all the tribe's dealings with government had been with the state of Maine (or its predecessor, Massachusetts); it had no dealings with the federal government and Congress passed no legislation specific to the Passamaquoddy. In its decision, the court of appeals held (1) that the Trade and Intercourse Act included the Passamaquoddy within its terms as a "tribe," regardless of the fact that the federal government had not taken any action to recognize the tribe; (2) that at least insofar as the preservation of tribal lands was concerned, the Act created a trust relationship between the federal government and the tribe; and (3) that Congress had never acted to terminate this trust relationship. The Government accordingly was ordered to file suit as trustee for the tribe.

The trust responsibility also figured prominently in litigation concerning water rights of several of the western tribes. One such controversy involved the Pyramid Lake Paiute Tribe, which for years had been aggrieved by declining water levels in its reservation lake, caused by certain reclamation projects along its

feeder streams. After several years of prodding, the tribe succeeded in having the United States bring a water rights suit on its behalf. In the meantime, the tribe successfully attacked a regulation of the Secretary of the Interior that allocated water among the various users in the watershed. The Secretary's allocation had been an accommodation to the demands of the competing users (including the tribe) and was defended as "a judgment call." The district court struck down the regulation on the ground that, in making a mere accommodation, the Secretary had failed to fulfill his fiduciary duty to protect the water rights of the tribe. *Pyramid Lake Paiute Tribe v. Morton*, 354 F.Supp. 252 (D.D.C.1972). Once a tribe establishes priority water rights, the Bureau of Reclamation has a trust responsibility to honor those rights in allocating water in the operation of an irrigation project. *Klamath Water Users Protective Ass'n v. Patterson*, 204 F.3d 1206, 1213-14 (9th Cir.1999). The Supreme Court has recently held, however, that the government's trust responsibility with regard to reserved water rights does not include a duty to assess a tribe's water needs, or to take affirmative steps to facilitate the delivery of water to the reservation from appurtenant or distant sources. *Arizona v. Navajo Nation*, 599 U.S. 555 (2023). Tribes may maintain, however, claims against the United States for mismanagement of existing water-delivery systems on trust properties. *Ute Indian Tribe of the Uintah & Ouray Reservation v. United States*, 99 F.4th 1353 (Fed.Cir.2024).

Courts continue to find new ways to apply trust principles to the management of tribal property. In

the case of *In re Blue Lake Forest Products, Inc.*, 30 F.3d 1138 (9th Cir.1994), the United States and the tribe had sold logs cut on the reservation to a non-Indian buyer off-reservation who received but did not pay for them. In an ensuing bankruptcy, "the heightened protection for property held in trust for Indian tribes" was held to override a state security interest in the logs that a financing bank held under the Uniform Commercial Code.

In recent years, courts have delineated additional characteristics or limitations of the federal trust responsibility. When the United States acts against third parties in its sovereign capacity as trustee for Indian land, it is not subject to a defense of equitable estoppel. *Grondal v. United States*, 21 F.4th 1140 (9th Cir.2021). The federal government's trust responsibility runs to *all* Indian tribes; it therefore cannot be invoked to prevent the Indian Health Service from terminating a program favoring one Indian subgroup in order to use the resources in programs benefitting Indians generally. *Lincoln v. Vigil*, 508 U.S. 182, 194–95 (1993). A tribe seeking judicial redress for federal mismanagement of its resources ordinarily must first exhaust administrative remedies. *White Mountain Apache Tribe v. Hodel*, 840 F.2d 675, 677–78 (9th Cir.1988). The trust duty does not extend to the federal government in its disposition of an off-reservation Indian school; the school was not trust property, even though operated for the benefit of Indian tribes. *Inter Tribal Council of Arizona, Inc. v. Babbitt*, 51 F.3d 199 (9th Cir.1995). Even when the federal government owes a trust duty to inform an Indian allottee of trust

land of *facts* that might give rise to a claim against the United States, there is no duty to advise of the potential *legal claim* itself. *DuMarce v. Scarlett*, 446 F.3d 1294 (Fed. Cir.2006). Limitations on a breach of trust thus run from the time the facts are known by the Indian plaintiff; the knowledge of illegality is irrelevant. *Shoshone Indian Tribe v. United States*, 672 F.3d 1021, 1031–32 (Fed. Cir.2012). Congress may authorize state governments to exercise the trust responsibility in specific instances. See *Pelt v. Utah*, 104 F.3d 1534 (10th Cir.1996); *Peyote Way Church of God, Inc. v. Thornburgh*, 922 F.2d 1210, 1219 (5th Cir.1991). A violation of federal trust responsibility toward an individual Indian has been held to create a right of action under state law, enforceable by incorporation in the Federal Tort Claims Act. *Marlys Bear Medicine v. United States ex rel. Secretary of Interior*, 241 F.3d 1208 (9th Cir.2001).

From time to time Indian litigants have urged the enforcement of a broader trust responsibility, going beyond protection of tribal lands and resources and encompassing a duty to preserve tribal autonomy or to contribute to the welfare of the tribes and their members. These attempts have not met with success in the courts, which tend to insist upon a statute or regulation establishing conventional trust responsibility, or upon the buttressing of bare trust language with a provision for active federal management of tribal funds or other trust property. See, e.g., *El Paso Natural Gas Co. v. United States*, 750 F.3d 863 (D.C. Cir.2014); *Nulankeyutmonen Nkihtaqmikon v. Impson*, 503 F.3d 18, 30–31 (1st

Cir.2007). Thus no general trust responsibility precluded the Secretary of Labor from enforcing provisions of the Safe Drinking Water Act against a tribe. *Osage Tribal Council v. United States Dept. of Labor*, 187 F.3d 1174, 1183-84 (10th Cir.1999). When a generalized trust responsibility has been recognized, as in the case of the Federal Energy Regulatory Commission, it has entitled the tribes to no greater rights than they would otherwise have under the Federal Power Act and agency regulations. *Skokomish Indian Tribe v. FERC*, 121 F.3d 1303 (9th Cir.1997). An agency's trust responsibility is discharged by compliance with regulations and statutes not aimed at protecting Indian tribes. *Gros Ventre Tribe v. United States*, 469 F.3d 801 (9th Cir.2006). Thus the Department of the Interior had no special duty to warn an Indian employee of a deadline for the application for personnel benefits so long as it adhered to its neutral civil service regulations; it could rely on publication in the Federal Register to provide notice. *Lawrence v. Department of Interior*, 525 F.3d 916 (9th Cir.2008). The broad view of the trust responsibility is not utterly without effect, however; it can sometimes influence the decision of cases brought on other grounds. In *McNabb v. Bowen*, 829 F.2d 787 (9th Cir.1987), the court required the Indian Health Service to pay for medical care of an Indian child when the state, which arguably had the primary responsibility, refused to do so. The court found the sources of the federal duty in the congressional intent underlying the Indian Health Care Improvement Act, 25 U.S.C.A. § 1601 et seq., "brought into sharper

focus by the trust doctrine." 829 F.2d at 793. Similarly, the broad trust obligation permits an agency to assume that disputed land is Indian country for purposes of regulation, see *HRI, Inc. v. EPA*, 198 F.3d 1224, 1246-48 (10th Cir.2000), or to maintain an informal policy of not enforcing against members of recognized tribes the Migratory Bird Treaty Act's prohibition of possession of hawk parts, see *United States v. Eagleboy*, 200 F.3d 1137 (8th Cir.1999). The broad trust obligation of the United States thus occasionally casts its shadow beyond cases involving Indian lands, resources and proprietary treaty rights. See also *Morton v. Ruiz*, 415 U.S. 199, 236 (1974).

D. ROLE OF THE BUREAU OF INDIAN AFFAIRS AND THE DEPARTMENT OF THE INTERIOR

The primary instrument for carrying out the federal trust responsibility has been the Bureau of Indian Affairs, located for the past one hundred seventy-five years within the Department of the Interior. From a system of Indian agents under the loose control of a small Washington office, the Bureau has evolved into a complex bureaucracy of many thousands of employees. The Washington office is headed by the Commissioner of Indian Affairs, who reports to the Assistant Secretary of the Interior for Indian Affairs. Although the Washington office is at the organizational top of the Bureau, an unusually great degree of decision-making authority has been delegated to the twelve Area Offices, located in various parts of the country and each headed by an

Area Director. Below the Area Offices are the eighty-odd Agencies, each usually responsible for one or more reservations. The Agencies are located on reservations.

At one time the Bureau represented virtually the entire governing authority in Indian country. Today the activities of the Bureau are more narrowly directed toward the fulfillment of the federal trust responsibility to the tribes. The most substantial activities of the Bureau today are probably education and the management of tribal resources, particularly lands. The Bureau has for years run Indian boarding schools, which were originally designed as instruments of assimilation and which have been the focus of controversy and resentment partly because of that heritage. In recent years, the Bureau has almost entirely phased out its boarding schools in favor of day schools located in reservation communities. The Bureau also has entered contracts permitting local tribal or community control of some of the schools, and this trend is likely to continue. (Much Indian education, of course, is provided by the states, with federal financial assistance. See 20 U.S.C.A. §§ 236-44, 631-47 ("impact aid"); 25 U.S.C.A. §§ 452-54 (Johnson O'Malley Act)). In all of its actions affecting education, the Bureau must consult with the affected tribes. 25 U.S.C.A. § 2011(b).

Management of lands and other resources, including mineral and water rights, held in trust is a very significant portion of Bureau activity. Because the United States is legal titleholder of all trust

resources, the federal government is of necessity a participant in all leases or other dispositions of these assets. Even a will by an individual allottee disposing of his or her beneficial interest is invalid without the approval of the Secretary of the Interior. 25 U.S.C.A. § 373. Indeed, the Secretary must approve any contract providing for payment or grants of privilege by a tribe in consideration of services for the Indians "relative to their lands." 25 U.S.C.A. § 81; see *Penobscot Indian Nation v. Key Bank*, 112 F.3d 538 (1st Cir.1997); *Becker v. Ute Indian Tribe*, 868 F.3d 1199 (10th Cir.2017). The result of trusteeship is therefore a considerable degree of Bureau supervision, whether the assets are held in trust for the tribe or for individual Indians.

There are many other activities of the Bureau too numerous to mention here. Examples are the administration of Bureau housing programs, building and maintenance of roads, licensing of Indian traders, provision of emergency relief, and the administration of various grant programs.

Over the years the Bureau has been subjected to repeated and bitter criticism on a variety of counts. It has been contended that the complex and burdensome administrative structure of the Bureau eats up an undue share of the appropriations that Congress intends for the benefit of the Indians, and that it has "lost" large portions of those appropriations. The Bureau has also been charged with simply not doing its job, and with being more sensitive to non-Indian than to Indian interests. Examples that attracted judicial attention were the

Bureau's failure to issue regulations governing Indian traders, see *Rockbridge v. Lincoln*, 449 F.2d 567 (9th Cir.1971), and its failure in one instance to provide irrigation for Indian farmers while providing it for non-Indians—behavior that a court of appeals said “borders on the shocking,” *Scholder v. United States*, 428 F.2d 1123, 1130 (9th Cir.1970). Recently, the failure of the Bureau to maintain adequate records in its management of Individual Indian Money accounts, with the loss of huge amounts of funds, has come into focus. See *Cobell v. Salazar*, 679 F.3d 909 (D.C. Cir.2012), Section C, *supra*.

A more fundamental complaint against the administration of the trust responsibility goes beyond the Bureau to the Department of the Interior and even to the Department of Justice. The Bureau has the responsibility of defending the tribes' trust assets when they are threatened by other interests. Unfortunately, many of these threats come from other agencies within the Department of the Interior and their constituencies. Indian land and water interests frequently conflict with the activities or designs of the Bureau of Reclamation, the Bureau of Land Management, the National Park Service and, occasionally, the Bureau of Mines and the Office of Surface Mining Reclamation and Enforcement. Indian fishing interests have conflicted with those of the Fish and Wildlife Service. All of these agencies are within the Department of the Interior, and many of them have political support far in excess of that of the Bureau of Indian Affairs. As a result, Indian interests may suffer when compromises are made at the Secretary's level between competing bureaus.

Although this type of political compromise goes on within every executive agency, it carries the danger that the tribes will be viewed merely as a weak political interest rather than as a group to whom a fiduciary duty is owed.

The trust relationship runs into even more severe problems when the battle for preservation of trust assets moves into court. The Bureau of Indian Affairs is represented initially by the Solicitor of the Department of Interior and, if the matter goes to court, by the Department of Justice. Both of these offices are charged with representing not only Indian interests, but also those of the agencies with which the tribes frequently come into conflict. In addition to the agencies within the Department of Interior listed above, the tribes find themselves competing on occasion with the Forest Service of the Department of Agriculture, which is also represented in court by the Justice Department. A private law firm could not ethically undertake the representation of such clearly competing clients, but the government attorneys regularly do. The Supreme Court has made it clear that, in those circumstances, the government may not disregard its obligations to its other beneficiaries in favor of its responsibility to the tribes. *Nevada v. United States*, 463 U.S. 110, 127 (1983).

[I]t may well appear that Congress was requiring the Secretary of the Interior to carry water on at least two shoulders when it delegated to him both the responsibility for the supervision of the Indian tribes and the

commencement of reclamation projects in areas adjacent to reservation lands. But Congress chose to do this, and it is simply unrealistic to suggest that the Government may not perform its obligation to represent Indian tribes in litigation when Congress has obliged it to represent other interests as well. In this regard, the Government cannot follow the fastidious standards of a private fiduciary * * *.

Id. at 128. Accordingly, the tribes are not relieved of the res judicata effect of a judgment merely because the government represented both the tribes and those who competed with them. 463 U.S. at 134-43; *Arizona v. California*, 460 U.S. 605, 626-28 (1983).

The tribes believe that the government's representation of conflicting interests results in less-than-satisfactory advocacy of Indian trust interests. One alternative, frequently employed, is for the tribes to use their own attorneys. The tribes generally may intervene in litigation affecting their interests, even if they are already represented by the United States as trustee. E.g., *Arizona v. California*, 460 U.S. 605, 613-15 (1983). This alternative may be an expensive one, however; the tribe that used its own attorney to sue to enforce the trust responsibility in the *Pyramid Lake* case was unable to recover attorneys' fees from the government after it prevailed on the merits. *Pyramid Lake Paiute Tribe v. Morton*, 499 F.2d 1095 (D.C. Cir.1974).

To avoid these problems of conflict of interest, President Nixon proposed the establishment of an independent Indian Trust Counsel Authority that

would undertake legal representation of Indian trust interests. 116 Cong.Rec. 23258, 23261 (1970). The American Indian Policy Review Commission went even further; it recommended a cabinet level Department of Indian Affairs with its own Office of Trust Rights Protection to litigate trust cases. Neither proposal has been enacted by Congress.

The final, recurrent criticism of the federal administration of Indian affairs focuses on the Bureau of Indian Affairs itself. It is the charge of excessive paternalism. Initially, the reservations themselves and the schools established by the Bureau had the very purpose of changing and molding the Indians to the non-Indian way of life—a process that was paternalistic by definition. Today the emphasis of federal policy is upon tribal self-determination, and the Bureau has certainly receded from its monolithic control of tribal affairs. Many of the Bureau's management functions have been contracted to the tribes under the Indian Self-Determination and Education Assistance Act of 1975, 25 U.S.C.A. § 5301 et seq. Moreover, the Bureau is no longer the only presence of the federal government within Indian country. The Departments of Health and Human Services, of Education, of Housing and Urban Development, as well as the Legal Services Corporation and other agencies now play a considerable part in tribal development. Nevertheless, the Bureau is still the most important agency for the tribes, and on some occasions may influence tribal affairs to a degree greater than is consistent with present notions of tribal autonomy.

There are several reasons for this persistent condition.

The first reason may simply be that old habits die hard; neither a bureaucracy nor those accustomed to relying upon it are likely to change overnight. Habit in this case is supported by the legal framework. Tribal elections are held and approved by the Secretary of the Interior. See *Thomas v. United States*, 189 F.3d 662 (7th Cir.1999); *Sac & Fox Tribe v. BIA*, 439 F.3d 832 (8th Cir.2006); 25 U.S.C.A. § 5123. When a disputed election results in competing claims to tribal leadership, the courts will defer to the Assistant Secretary's recognition of one group as representing the tribe. *Timbisha Shoshone Tribe v. Salazar*, 678 F.3d 935 (D.C. Cir.2012). Most tribes have constitutions adopted pursuant to the Indian Reorganization Act of 1934, and those constitutions can be changed only after an election supervised by the Secretary of the Interior, with the Secretary having the power to review determinations of voter eligibility and to disapprove the amendments if they do not comply with federal law. See *Shakopee Mdewakanton Sioux (Dakota) Community v. Babbitt*, 107 F.3d 667 (8th Cir.1997). Frequently, those constitutions provide either that tribal ordinances must be approved by the Secretary of the Interior or that the Secretary has the power to rescind ordinances passed by the tribal council. While the policy today is that tribal ordinances will be approved almost automatically, there are still exceptions. See *Moapa Band of Paiute Indians v. United States Dept. of Interior*, 747 F.2d 563 (9th Cir.1984), upholding the Secretary's rescission of a tribal ordinance

licensing prostitution. It is consequently quite natural for a tribal council, when considering passage of a controversial measure, to be interested in knowing whether the Bureau approves of it. It is probably fair to say, however, that the trend is for increasing independence of tribal leadership, but the Bureau remains important.

Another reason why the Bureau may continue to guide many tribal affairs is found in the trust responsibility itself. The concept of trusteeship is, unfortunately, opposed in principle and to some degree in practice to that of tribal independence. If the tribal council wants to enter a particular lease upon terms that the bureau deems disadvantageous, the trust responsibility (and the possible trustee liability that follows from it) encourages the Bureau to frustrate the desires of the tribal authorities. While it may be argued that this example arises but rarely (as there are all too many instances of the Bureau's having entered disadvantageous leases), the fact remains that the trust responsibility exerts some pressure toward continued paternalism.

An outsider's reaction to the criticisms of the Bureau might simply be to call for its abolition, but this suggestion inevitably encounters opposition from the tribes. While joining in criticism of the Bureau, tribal leaders recognize that it is much less paternalistic than it once was. It has substantial Indian representation within its ranks, partly as a result of Indian preference. Most important, the Bureau is seen as the embodiment of the federal trust responsibility. An attempt to end the Bureau is

perceived as an attempt to do away with the trust relationship itself—in other words, to “terminate.” The experience of the tribes whose relationship with the federal government was terminated in the 1950s was sufficiently dismal that any hint of the policy’s revival triggers instant opposition.

E. TERMINATION OF THE FEDERAL-TRIBAL RELATIONSHIP

Termination of the special relationship between the federal government and the tribes became an official goal of Congress in 1953, and was pursued for the following fifteen years. See Chapter 2, Section G, *supra*. During that period, the relationship with over 100 tribes or bands was terminated. Nearly all of these were small, consisting of a few hundred members at most. The California Rancheria Act, 72 Stat. 619 (1958), provided for the dissolution of the trust status of forty-one small reservations (“Rancherias”) and distribution of the trust assets. Two larger terminations were of the Menominee of Wisconsin, with 3,270 members, and the Klamath of Oregon, with 2,133. All of these terminations were accomplished, as they must be, by acts of Congress. Since the provisions of these acts differ, the particular legal effects of termination upon any given tribe can be determined only by examination of the governing statute and, in some cases, subsequent legal developments. See *Hawkins v. Haaland*, 991 F.3d 216 D.C. Cir.2021). The terminations of the Rancheria Act, for example, were reversed because the termination had not followed the statute. See *Stand Up for California! v. U.S. Dept. of Interior*, 994

F.3d 616 (D.C. Cir.2021). The termination of the Mixed Blood Utes of the Uintah and Ouray Reservation has spawned endless litigation concerning its effects. See *Hackford v. Babbitt*, 14 F.3d 1457, 1463–64 (10th Cir.1994). Nevertheless, terminations do have enough common consequences to permit a general description of the effects of the process.

One of the most important features of termination is that the tribal land base passes out of trust into some form of private ownership. This means that the land may be sold or mortgaged. Federal government supervision, for good or ill, is no longer available for land and resource management. The land may be taxed by state and local governments, which was not possible when the land was in federal trust, and non-payment of taxes may result in loss of the land. In the case of many of the terminated tribes, the tribal lands were sold as part of the termination process and the proceeds were distributed to tribal members per capita (often to be consumed by routine living expenses).

Another element of termination is the transfer of jurisdiction over the tribal territory from the federal government to the state. The state and local governments acquire complete legislative power; they can regulate all activity taking place on the former reservation. State laws may be applied to the tribe itself. *South Carolina v. Catawba Indian Tribe, Inc.*, 476 U.S. 498, 506 (1986). The state also acquires judicial jurisdiction; civil and criminal matters that were formerly tried in federal or tribal court go to

state court instead. Individual members of the tribe, should they be found in Indian country, will not even be considered "Indians" for purposes of jurisdictional questions arising there. *United States v. Heath*, 509 F.2d 16 (9th Cir.1974).

Termination also brings to an end a number of federal services arising from the trust responsibility. Virtually all services administered by the Bureau of Indian Affairs including education, housing and emergency welfare are discontinued. Tribal members are no longer eligible for health care provided by the Indian Health Service. The tribe itself loses the ability to participate in federal grant programs available to federally recognized tribes. A few federal programs serving "Indians" remain available to individual members, however, because the governing statute or regulation does not make eligibility depend upon federal recognition of the tribe.

A common practical result of termination is the disappearance of the entire tribal governmental structure. While termination statutes do not decree such a result, it is hardly surprising that the structure of self-government collapses when there is no tribal land base and no area of legislation or adjudication reserved exclusively for the exercise of tribal authority. Without territory and without government, tribal identity itself is severely threatened. While it is technically inaccurate to refer to "terminated tribes" because it is the federal-tribal relationship and not the tribe that is terminated by statute, that common shorthand term sometimes reflects the true state of affairs.

If the tribe is able to maintain its existence, termination will not put an end to its treaty rights in the absence of a clear expression of legislative intent to accomplish that purpose. Thus the Menominee and Klamath tribes were held to have hunting and fishing rights that survived each tribe's "termination." *Menominee Tribe v. United States*, 391 U.S. 404 (1968); *Kimball v. Callahan*, 493 F.2d 564 (9th Cir.1974), and *Kimball v. Callahan*, 590 F.2d 768 (9th Cir.1979).

The social and economic effects of termination were almost uniformly disastrous. See Chapter 2, Section G, *supra*. After several years of political effort, the Menominees in 1973 convinced Congress to restore the federal-tribal relationship and place their remaining lands back in federal trust. 25 U.S.C.A. §§ 903-903f. Since that time, Congress has restored the federal relationship with several other tribes or bands. That includes the Klamath, although restoration could not return their lost lands to them. See 25 U.S.C.A. § 566. The American Indian Policy Review Commission recommended general legislation permitting restoration of any "terminated" tribe whose members vote for it, but no such all-inclusive legislation has been forthcoming. Some bands have succeeded in litigation to restore their special relationship to the federal government. See, e.g., *Williams v. Gover*, 490 F.3d 785 (9th Cir.2007). The termination of the California Rancherias was undone by litigation ending in settlement judgments restoring the trust lands and federal recognition of the tribes. See *Stand Up for California! v. U.S. Dept. of Interior*, 994 F.3d 616

(D.C. Cir.2021). But less fortunate "terminated" tribes or bands continue a precarious existence without the benefits, flawed as they may be, of the federal trust relationship.

CHAPTER 4

INDIAN TRIBAL GOVERNMENTS

A. ORGANIZATION OF THE TRIBES; TRIBAL CONSTITUTIONS

At the time of their first contact with the Europeans, Indian tribes were characterized by a variety of traditional forms of government. As the tribes were pushed westward and ultimately confined to reservations, these ancient systems were totally disrupted. The social fabric of most of the tribes was severely damaged, and federal administration replaced traditional forms of communal decision-making and internal control. Only a few tribes, most notably the Pueblos, escaped this fate and retained most of their customary ways.

Tribal organization was further distorted by the tendency of the federal government to create a tribe where none existed. In cases where independent bands shared a common language, federal authorities sometimes found it convenient to lump them all together into a "tribe" that could enter a single treaty opening up Indian lands for settlement. On some occasions the federal government selected "chiefs" to sign these treaties even though the concept of a chief (or the choice of those particular chiefs) was wholly foreign to the existing traditional system. The federal government in several instances also gathered disparate or even hostile groups together on one reservation and dealt with them administratively as a single unit.